

CREDIT MEMO

Southwest Airlines Co. (NYSE: LUV)

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Recommendation: APPROVE WITH CONDITIONS

1) Company Overview

Southwest Airlines Co. (NYSE: LUV) is a US-based low-cost carrier generating revenue through tiered ticket pricing across four fare categories, supplemented by ancillary revenue including checked bag fees, priority boarding, the Rapid Rewards loyalty program, and the Gateways vacation package product. The company differentiates through a point-to-point route network, a single Boeing 737 fleet type, and faster gate turnarounds at less congested airports, producing a lower cost structure than hub-and-spoke competitors such as Delta and United. Southwest is headquartered in Dallas, Texas and operates approximately 4,000 daily flights across the domestic US network.

2) Credit Assessment

Strengths

- Leverage has improved significantly, with Debt/EBITDA declining from 4.57x in 2023 to 2.30x in 2025 — now below the typical airline industry range of 3.0x–5.0x, reflecting consistent debt paydown alongside earnings growth.
- Interest coverage strengthened substantially, with EBITDA/Interest rising from 6.7x in 2023 to 11.9x in 2025, driven by a combination of debt paydown — which reduced interest expense from \$259M to \$167M — and steady EBITDA growth, giving lenders a wider safety margin on debt service.
- Days Payable Outstanding remained stable at approximately 25–26 days across all three years, even as revenue grew from \$26.1B to \$28.1B, indicating Southwest has not needed to stretch supplier payments to manage cash flow — a sign that liquidity pressure, if any, has not yet appeared in payment behavior.
- Only 15.7% of total assets are debt-financed as of 2025, down from 21.9% in 2023, reflecting a conservative balance sheet backed by tangible aircraft collateral and providing meaningful financial flexibility.

Risks

- Southwest's point-to-point network structure demonstrated real operational fragility during the December 2022 holiday meltdown, when a severe winter storm triggered a crew-scheduling system failure that cascaded nationwide — resulting in approximately 16,900 cancelled flights, a estimated \$750M–\$1.1B in costs, and a Department of Transportation investigation. Unlike hub-and-spoke competitors who can compartmentalize regional disruptions, Southwest's distributed routing model allows a single weather event to disrupt the entire network, representing a recurring operational risk that could pressure cash flow and reputation in future disruption events.
- Southwest committed \$1.25 billion to share buybacks in Q1 2026 alone, within a \$2.0 billion board-approved program — capital that could alternatively have funded further debt reduction, a larger liquidity buffer, or operational resilience investment following the 2022 meltdown. This signals a management preference for returning capital to shareholders over strengthening the balance sheet. A tension worth monitoring given the company's demonstrated operational risk.
- The headline current ratio of 0.52x in 2025 reflects \$5.9 billion in Air Traffic Liability — 54% of total current liabilities — representing prepaid customer revenue rather than a cash obligation. While the adjusted current ratio of 1.13x is healthy, the underlying trend (down from 2.45x in 2023) warrants continued monitoring.
- Southwest remains exposed to fuel price volatility amid ongoing geopolitical tension in the Middle East, and to industry-wide labor cost inflation following recent pilot contract increases — both of which directly compress operating margins given fuel and labor together represent approximately 65% of total operating expenses.

3) Ratio Summary

Ratio	2025	2024	2023	Benchmark	Flag
EBITDA / Interest	11.9x	7.9x	6.7x	> 2.0x	Good
Debt / EBITDA	2.30x	2.56x	4.57x	3.0x – 5.0x (airline avg)	Good

Current Ratio	0.52x	0.92x	1.14x	> 1.0x	Watch
Current Ratio (ex-ATL)	1.13x	1.88x	2.45x	> 1.0x	Good
Days Payable Outstanding	25.9 days	24.1 days	26.1 days	< 45 days	Good
Debt / Total Assets	15.7%	15.0%	21.9%	< 60%	Good

Note: Current Ratio (ex-ATL) excludes Air Traffic Liability from current liabilities to isolate true short-term cash obligations. DPO calculated using total operating revenue as a proxy for cost of goods sold, as airlines do not report a traditional COGS line item.

4) Scenario Analysis

A three-scenario stress test was applied to 2025 financials, projecting forward through 2028 under Base, Adverse, and Severely Adverse conditions, consistent with DFAST-style methodology.

Base Case (+2% annual revenue growth, 7.09% EBITDA margin held flat)

Southwest's credit profile continues to strengthen under base case conditions, with Debt/EBITDA improving to 2.17x and EBITDA/Interest rising to 12.64x by 2028, consistent with the 2023–2025 historical trend.

Adverse Case (–15% single-year revenue shock, EBITDA margin compressed to 3.09%)

Under adverse conditions — calibrated to a moderate airline industry downturn — Debt/EBITDA rises to 8.59x and EBITDA/Interest falls to 3.19x by 2028. While leverage increases meaningfully, interest coverage remains above the 2.0x minimum threshold throughout the projection period, indicating the company would remain able to service its debt, albeit with a substantially reduced cushion.

Severely Adverse Case (–30% single-year revenue shock, EBITDA margin compressed to –0.91%, modeled on a COVID-level demand and cost shock)

Under severely adverse conditions, EBITDA turns negative in the first projected year (–\$179M in 2026, deteriorating to –\$88M by 2028), rendering Debt/EBITDA and EBITDA/Interest not meaningful (N/M) — operating losses of this magnitude would leave the company unable to cover interest from operations, a scenario consistent with the liquidity crisis experienced industry-wide during 2020. Days Payable Outstanding, which remains a meaningful indicator throughout this scenario, rises from 26 days to 75 days by 2028, signaling significant strain on supplier payment capacity well before formal default indicators would be triggered.

5) Recommendation

APPROVE WITH CONDITIONS. Southwest Airlines demonstrates a strong and improving credit profile across all leverage and coverage metrics, with Debt/EBITDA and interest coverage both materially better than three years ago and now favorable relative to airline industry benchmarks. The headline liquidity concern reflected in the standard current ratio is substantially explained by Air Traffic Liability rather than genuine cash stress, as confirmed by the adjusted ratio and stable payment behavior to suppliers.

The primary credit risk is operational rather than financial: Southwest's point-to-point network model has demonstrated a structural vulnerability to cascading disruption, as evidenced by the December 2022 meltdown, and the company's recent capital allocation decisions — prioritizing \$1.25 billion in share buybacks — modestly reduce the financial buffer available to absorb a future shock of similar magnitude.

Recommend approval subject to: (1) quarterly monitoring of the adjusted current ratio with a minimum threshold of 1.0x, (2) covenant restricting further share repurchase authorization increases without lender consent if Debt/EBITDA exceeds 3.5x, and (3) annual review of operational resilience investments following any future network-wide disruption event.